arbitrary power. The path to state capacity lies in checks and balances, and dispersed power.

The laws that define government intervention need to be written with a focus on removing arbitrary power, controlling the ways in which officials engage with private persons, and establishing the rule of law. This new approach to writing law is of essence in building the republic.

Our traditional notion of political economy is about competing coalition of *voters*, where special interests mobilize to block reforms. A remarkable feature of India is the role of established bureaucratic formations as the constituency in favour of arbitrary power of the administrative state, and as the opponents of reform. The officials like the rule of officials. The central planners and the agencies are arrayed against rule of law and a market economy.

There is a capability trap when coercive power is given to weak organizations. Once an organization has the power to coerce, and the checks and balances are weak, there will be a steady slide into abuse of coercive power. The private sector is fearful of the arbitrary power wielded by officials, and does not speak up. There is no voice, but there is an exit in the form of reduced investment. There is a lack of a feedback loop where difficulties kick off improvements. Too often, in fact, we are seeing the opposite kind of feedback loop, where agencies fail in their work, but the political system responds by giving them greater arbitrary power to investigate and punish, which induces a further reduction in their capabilities.

The path to state capacity lies in being stingy with public expenditure and with coercive power. Government organizations should have to prove themselves, before significant money or coercive power is placed in their hands. UK levels of coercive power in a tax administration can only be justified when the tax administration rises to UK levels of rule of law.

The policy landscape in India today is a sprawling scene where a large number of state interventions are in place, and most of them work poorly. The path to progress lies in narrowing the scope of the state, picking fewer battles, and first learning how to run the government at high levels of state